

Today's Paper of ECO 401

A total of 27 Qs.@@ were MCQs and 3 were of 3 marks and 2 of 5 marks.

Subjective Qs.

1. Explain 2nd and 3rd degree PD with example.(5 Mks)
2. which of these are VC and FC.(5)
3. Concentration and its use.(30)
4. LRTAC and draw graphs in economies and diseconomies of scale.(3)
5. Find elasticity of demand.(3)

Best of luck...

remember me in ur prayers.

28 mcqs

3num ka question difference between monopolists and perfectly competition

3number ka product production

5number ka diagram show kya gya tha monopolist ka diagram the us ki explanation karni thi

5number ka capital 250 250 250 250 250 250

labor 10 20 30 40 50 60

tap=20 33.7 43.8 87.8 100 111.7

mpp nikalna tha

FlowerEco401 current paper mid term fall 2011

Total questions 30

Question No: 1 (Marks: 1) - Please choose one

Figure

In figure given above, the marginal utility of income is:

- ▶ Increasing as income increases.
- ▶ Constant for all levels of income.
- ▶ Diminishes as income increases.
- ▶ None of the given options.

Question No: 2(Marks: 1) - Please choose one

A consultant for Mattel (the producer of Barbie) reports that their long run average cost curve is decreasing. In other words, he is saying that:

- ▶ The firm has increasing returns to scale and the law of diminishing marginal productivity does not apply to this firm.
- ▶ The firm has decreasing returns to scale and the law of diminishing marginal productivity does not apply to this firm.
- ▶ The firm has increasing returns to scale but the law of diminishing marginal productivity may still apply to this firm.
- ▶ The firm has decreasing returns to scale but nonetheless the law of diminishing marginal productivity may still apply to this firm.

Question No: 3(Marks: 1) - Please choose one

A tennis pro charges \$15 per hour for tennis lessons for children and \$30 per hour for tennis lessons for adults. The tennis pro is practicing:

- ▶ First-degree price discrimination.

- ▶ Second-degree price discrimination.
- ▶ Third-degree price discrimination.
- ▶ All of the given options.

Question No: 4 (Marks: 1) - Please choose one

Marginal profit is equal to:

- ▶ Marginal revenue minus marginal cost.
- ▶ Marginal revenue plus marginal cost.
- ▶ Marginal cost minus marginal revenue.
- ▶ Marginal revenue times marginal cost.

Question No: 5 (Marks: 1) - Please choose one

If current output is less than the profit-maximizing output then which of the following must be TRUE?

- ▶ Total revenue is less than total cost.
- ▶ Average revenue is less than average cost.
- ▶ Marginal revenue is less than marginal cost.
- ▶ Marginal revenue is greater than marginal cost.

Question No: 6 (Marks: 1) - Please choose one

The total cost (TC) of producing computer software diskettes (Q) is given as: $TC = 200 + 5Q$. What is the average total cost?

- ▶ $5Q$.
- ▶ 5.
- ▶ $5 + (200/Q)$.
- ▶ None of the given options.

Question No: 7 (Marks: 1) - Please choose one

Cross-price elasticity measures whether:

- ▶ Goods are normal or inferior.
- ▶ Two goods are substitutes or complements.
- ▶ Demand is elastic or inelastic.
- ▶ Supply is steeper than demand or vice versa.

Question No:8 (Marks: 1) - Please choose one

Because of the relationship between a perfectly competitive firm's demand curve and its marginal revenue curve, the profit maximization condition for the firm can be written as:

- ▶ $P = MR$.
- ▶ $P = AVC$.
- ▶ $AR = MR$.

Question No: 9 (Marks: 1) - Please choose one

Third-degree price discrimination involves:

- ▶ Charging each consumer the same two part tariff.
- ▶ Charging lower prices the greater the quantity purchased.
- ▶ The use of increasing block rate pricing.
- ▶ Charging different prices to different groups based upon differences in elasticity of demand.

Question No: 10 (Marks: 1) - Please choose one

In order for a taxicab to be operated in New York City, it must have a medallion on its hood. Medallions are expensive but can be resold and are therefore an example of:

- ▶ A fixed cost.
- ▶ A variable cost.
- ▶ An implicit cost.
- ▶ An opportunity cost.

Question No: 11 (Marks: 1) - Please choose one

Government authorities have managed to reduce the unemployment rate from 8% to 4% in a hypothetical economy. As a result:

- ▶ The economy's production possibilities curve will shift outward.
- ▶ The economy's production possibilities curve will become steeper.
- ▶ The economy will move downward along its production possibilities curve.
- ▶ The economy will move from a point inside to a point closer to its production possibilities curve.

Question No: 12(Marks: 1) - Please choose one

The "perfect information" assumption of perfect competition includes all of the following EXCEPT:

- ▶ Consumers know their preferences.
- ▶ Consumers know their income levels.
- ▶ Consumers know the prices available.
- ▶ Consumers can anticipate price changes.

Question No: 13 (Marks: 1) - Please choose one

According to the utility model of consumer demand, the law of diminishing marginal utility indicates that the demand curve is:

- ▶ Vertical.
- ▶ U-shaped.
- ▶ Upward-sloping.
- ▶ Downward-sloping.

Question No: 14 (Marks: 1) - Please choose one

Cross-price elasticity measures whether:

- ▶ Goods are normal or inferior.
- ▶ Two goods are substitutes or complements.
- ▶ Demand is elastic or inelastic.
- ▶ Supply is steeper than demand or vice versa.

Question No: 15 (Marks: 1) - Please choose one

Which of the following will be TRUE if demand is inelastic?

- ▶ The coefficient of elasticity is greater than one.
- ▶ The percentage change in quantity demanded is same as the percentage change in the price.
- ▶ An increase in price will increase total revenue.
- ▶ None of the given options.

Question No: 16 (Marks: 1) - Please choose one

The concept of a risk premium applies to a person that is:

- ▶ All of the given options.
- ▶ Risk averse.
- ▶ Risk neutral.
- ▶ Risk loving.

Question No: 17 (Marks: 1) - Please choose one

A normative economic statement:

- ▶ Is a statement of fact.
- ▶ Is a hypothesis used to test economic theory.
- ▶ Is a statement of what ought to be, not what is.
- ▶ Is a statement of what will occur if certain assumptions are true.

Question No: 18 (Marks: 1) - Please choose one

Economics is different from other social sciences because it is primarily concerned with the study of _____, it is similar to other social sciences because they are all concerned with the study of _____.

- ▶ Limited resources, market behavior.
- ▶ Scarcity, human behavior.
- ▶ Social behavior, limited resources.
- ▶ Biological behavior, scarcity.

Question No:19 (Marks: 1) - Please choose one

Because of the relationship between a perfectly competitive firm's demand curve and its marginal revenue curve, the profit maximization condition for the firm can be written as:

- ▶ $P = MR$.
- ▶ $P = AVC$.
- ▶ $AR = MR$.
- ▶ $P = MC$.

Question No:20 (Marks: 1) - Please choose one

At the profit-maximizing level of output, what is TRUE of the total revenue (TR) and total cost (TC) curves?

- ▶ They must intersect with TC cutting TR from below.
- ▶ They must intersect with TC cutting TR from above.
- ▶ They must be tangent to each other.
- ▶ They must have the same slope.

Question No: 21 (Marks: 1) - Please choose one

According to the utility model of consumer demand, the law of diminishing marginal utility indicates that the demand curve is:

- ▶ Vertical.
- ▶ U-shaped.
- ▶ Upward-sloping.
- ▶ Downward-sloping.

Question No: 22 (Marks: 1) - Please choose one

For the monopolist shown below, the profit maximizing level of output is:

- ▶ Q1.
- ▶ Q2.
- ▶ Q3.
- ▶ Q4.

Question No: 23 (Marks: 1) - Please choose one

If Average Physical Product (APP) is increasing then which of the following must be true?

- ▶ Marginal physical product is greater than average physical product.
- ▶ Marginal physical product is less than average physical product.
- ▶ Marginal physical product is increasing.
- ▶ Marginal physical product is decreasing.

Question No: 24 (Marks: 1) - Please choose one

Suppose the first four units of an output produced incur corresponding total costs of 50, 150, 300, and 500. The marginal cost of the second unit of output is:

- ▶ 50.
- ▶ 100.
- ▶ 150.
- ▶ 200.

Question No:25 (Marks: 1) - Please choose one

An individual whose attitude towards risk is known as:

- ▶ Risk averse.
- ▶ Risk loving.
- ▶ Risk neutral.
- ▶ None of the given options

Question No: 26 (Marks: 1) - Please choose one

The numerical measurement of a consumer's preference is called:

- ▶ Use.
- ▶ Pleasure.
- ▶ Utility.
- ▶ Satisfaction.

Question No: 27 (Marks:3)

What is mean by economies ?

Question No: 28 (Marks:3)

????

Question No: 29 (Marks:5)

Differentiate between average variable cost and average fixed cost with help of formulas and examples?

Question No: 30 (Marks:5)

28-11-2011 session 8:00 to 9:00 am

total 32 questions

28 mcqs

2 question each with 3 marks

2 question each with 5 marks

define price discrimination and degrees of PD $2+3 = 5$

calculate MPP from the give data = 5
Differentiate monopolistic market with competitive market = 3
and one question is forgotten

How the principle of diminishing marginal rate of technical substitution is related to the law of diminishing returns. 3 Marks

Assuming that supernatural profits can be made in the short run in a monopolistically competitive industry; will there be any difference in the long-run and short-run elasticity of demand? Justify your answer. 3 Marks

From the information given below: 5 Marks

$$TR = 100Q - Q^2$$

Prove that the slope of marginal revenue (MR) is twice steeper than the slope of average revenue (AR) curve.

How can we achieve optimum combination of factors of production if: 5 Marks

$$MPP_k > MPPL$$

PK PL

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define price discrimination and degrees of PD $2+3 = 5$
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and one question is forgotten

Total Mcqz 27

1. Equation of total revenue (TR) is given below

$$TR = 100Q - Q^2$$

If $Q = 3$ than calculate average revenue and slope of average revenue.

2. Explain the traditional theory of firm with the help of its basic equation.

3. Give the degree of discrimination of the following

- an electric power supply company uses block prices for electric sales.
- An airline company charges different ticket rates to passengers
- Tennis court owner charges different from child and young ones
- Producers sells commodity abroad at lower price and higher price in local market

e. Doctor charges high prices to rich than poor.

4. What would be the shape of indifference curve in each of the following?

a. A, B are two brands of the same product, consumer can not tell the difference whether which is good or preferred.

b. X is good and Y is bad like household refuses.

•

Sometimes market activities (production, buying, and selling) have unintended positive or negative effects outside the market's scope. These are called externalities. As a policy maker concerned with correcting the effects of gases and particulates emitted by and local power plant, answer the following questions:

1. What two policies could you use to reduce the total amount of emissions?

2. Why do you think they each would work?

3. What would the benefits of each action be (besides emissions reduction)?

4. What would the costs of each action be?

5. How would you decide what was the best level of emission reduction?

My today's paper of eco401 with following pattern

22 quizzes all are from past papers

1. Explain the relationship between income and elasticity demand of inferior goods. Explain with the draw of graph. 5 marks
2. The quantity, price and TC were given TR was required to find out. 5marks
3. What will be happen to the average physical product if
 - Marginal Physical Product is equal to Average Physical Product,
 - Marginal Physical Product is greater than Average Physical Product,
 - Marginal Physical Product is less than Average Physical Product 3 marks
4. Define the key ingredients of any market structure 3marks
5. Assume that demand for a product is inelastic, will consumer expenditure go on increasing as price rises? 3marks

ECO 401 Midterm papers

Total 32 questions 28 mcqs and 4 subjective questions

MCQS were almost all new, very very tough, calculative like graphs and schedules were given and we had to analyse demand, supply changes, AVC, MC MR etc (you really need to be competent enough to judge) 70% were new.

Subjective Part it was comparatively easy)

Q.1 why economists say that when firms earn zero profits they actually earn normal profits?

Q.2 Why LRAC is U- shaped in the long run?

Q.3 Differentiate between External economies of scales and external dis-economies of scales, with examples.

Q.4 Price Limit graph was given and had to answer questions about it. (it had 3 parts)

s

12 DEC 2012

Today's Paper of ECO 401

27 QUESTIONS

2 SUBJECTIVE 3 MARKS

2 SUBJECTIVE 5 MARKS

MCQ WERE ALL FROM OLD PAPERS

Subjective Qs.

1. Explain profit maximization conditions for competitive business (3)
2. Oligopoly, why it is different from other market structures (5)
3. Traditional theory and its equation (5)
4. MPP and APP relation (last three lines of page # 55) (3)

Best of luck...

Please pray for me as well!

today's mid term paper all objective questions from previous papers

3 subjective questions of 3 marks 2 questions of 5 marks each

what is short run and long run production approach

what factors will a businessman consider before opening a firm (location)

factors affecting income elasticity of demand

Explain the above given graph, at what point is allocative efficiency achieved
is production efficiency achieved? Why?

all subjective yaad nahe aaraha, best of luck every body

pray for me as well

s

ECO PAPER-1 25/05/2013

SUBJECTIVE

What is meant by the term "Firm" in economics? (3)

What will be the effect of an increase and decrease of a price on total revenue of the firm,
if the demand curve is elastic? (3)

What is the short and long run under perfect competition? (3)

The following are some costs incurred by a shoe manufacturer. Decide whether each one
is a fixed cost or a variable cost or has some element of both. (5)

- (a) The cost of leather
- (b) The fee paid to an advertising agency
- (c) Wear and tear on machinery
- (d) Monthly salary of employ
- (e) Electricity for heating and lighting

My eco401 Current Paper.. there were total 27 Qs....22 MCQs all were new i think 2 or 3 were from past papers...and 5
subjective Qs Questions:

1: why we use percentage change rather than absolute change in elasticity? (lec 6)]

2: characteristics of Perfect and monopolistic competition?(lec 18 or 21)

3: which two things happen when the price of one good change ? (4th Lec 12)

4: Maximin strategy and maximax strategy (lec 22)

5: last Q... ..graph given then 3 qs they unknow answers deny they.. it was related to this topic "the optimum combination of
factors"....

.....Shared by Ali Ahsan.....

Some are new but all MCQz 2009 and 2010 midterm papers

**Mid Term Paper ECO 401
11 May 11, 2012**

Time 11:30 AM

Total MCqz 28

2 question 3 marks

2 question 5 marks

1

Which of the following is considered to be a variable cost in the long run?

- ▶ Expenditures for wages.
- ▶ Expenditures for research and development.
- ▶ Expenditures for raw materials.
- ▶ **All of the given options.**

2

A perfectly competitive firm maximizes profit by finding the level of production at which:

- ▶ **Price = Marginal Cost.**
- ▶ Price = Average Total Cost.
- ▶ Average Total Cost = Marginal Cost.
- ▶ Price < Marginal Cost.

3

If the cross price elasticity of demand between two goods X and Y is positive; it means that goods are:

- ▶ Independent.
- ▶ Complements.
- ▶ **Substitutes.**
- ▶ Inferior.

4

The long-run average total cost curve:

- ▶ **Traces out the points on the lowest short-run average total cost curve for each level of production.**
- ▶ Is inversely related to the depth of the short-run marginal cost curve.
- ▶ Traces out the midpoints on an average of several short-run average total cost curves.
- ▶ Is downward-sloping under decreasing returns to scale.

5

Marginal profit is equal to:

- ▶ **Marginal revenue minus marginal cost.**
- ▶ Marginal revenue plus marginal cost.
- ▶ Marginal cost minus marginal revenue.
- ▶ Marginal revenue times marginal cost.

6

Because of unusual warm weather, the supply of strawberries has substantially increased. This statement indicates that:

- ▶ The demand for strawberries will necessarily rise.
- ▶ **The equilibrium quantity of strawberries will fall.**
- ▶ The quantity of strawberries that will be available at various prices has increased.
- ▶ The price of strawberries will fall.

7

In a free-market economy, the allocation of resources is determined by:

- ▶ Votes taken by consumers.
- ▶ A central planning authority.
- ▶ **Consumer preferences.**
- ▶ The level of profits of firms.

8

We know that the demand for a product is elastic:

- ▶ When price rises, total revenue rises.
- ▶ **When price rises, total revenue falls.**
- ▶ When income rises, quantity demanded rises.
- ▶ When income falls, quantity demanded rises.

9

At the profit-maximizing level of output, marginal profit:

- ▶ Is positive.
- ▶ Is increasing.
- ▶ **Is zero.**
- ▶ Is also maximized.

10

An individual whose attitude towards risk is known as:

- ▶ Risk averse.
- ▶ **Risk loving.**
- ▶ Risk neutral.
- ▶ None of the given options.

11

Question No: 31 (Marks: 1) - Please choose one

What will happen if current output is more than the profit-maximizing output?

- ▶ The next unit produced will increase profit.
- ▶ **The next unit produced will decrease revenue more than it increases cost.**
- ▶ The next unit produced will decrease cost more than it increases revenue.
- ▶ The next unit produced will increase revenue without increasing cost.

12

Which of the following is TRUE about L-shaped isoquant?

- ▶ It indicates that the firm could switch from one output to another costlessly.
- ▶ It indicates that the firm could not switch from one output to another.
- ▶ It indicates that capital and labor cannot be substituted for each other in production.
- ▶ It is impossible.

13

As price increases total revenue decreases in case of

- ▶ Inelastic demand.
- ▶ Unit elastic demand.
- ▶ Zero elastic demand.
- ▶ **Elastic demand.**

14

The break-even point occurs when: <http://vustudents.ning.com>

- ▶ Price < Average Variable Cost.
- ▶ Price < Average Total Cost.
- ▶ **Price = Average Total Cost.**
- ▶ Price > Average Variable Cost.

15

Which of the following is true about supply curve under monopoly?

- ▶ It is same as the competitive market supply curve.

- ▶ It is the portion of marginal cost curve where marginal costs exceed the minimum value of average variable costs.
- ▶ It is the result of market power and production costs.
- ▶ **None of the given statements is true.**

16

At the equilibrium price:

- ▶ There will be a shortage.
- ▶ **There will be neither a shortage nor a surplus.**
- ▶ There will be a surplus.
- ▶ There are forces that cause the price to change.

Subjective 100% in lecture no 18 to 22 Monopoly ,

.....My Today's Paper.....

Time: 60Min

Total Marks: 44 {(28 MCQs) + 2 Questions (3 Marks) + 2 Questions (5 Marks)}

All the MCQ's were new to me....perhaps some of them from past papers

Many of them were in form of Graphs & Tables.....{(

What is the relationship between Long run average cost curve and short run average cost curve? (3 Marks)

Monopolistic competition and short run long run..... (3 Marks)

Who are the Price taker and Price maker Firms and where they lie in Market Structure.....(5 Marks)

There was a graph of Isoquants Constant return to scale and was asked two questions about that..... (5 Marks)

All the very best to all of you.....

ECO 401

Spring 2012 midterm 11-May-12

Total questions = 32

Total MCQ's are 28

3 Marks question = 2

5 marks question = 2

Some of MCQ's and questions that I remembered have been given below.

Question No: 1 (Marks: 1) - Please choose one

Total costs are the sum of:

- ▶ Marginal costs and variable costs.
- ▶ **Fixed costs and variable costs.**
- ▶ Fixed costs and marginal costs.
- ▶ Average variable costs and marginal costs.

Question No: 2 (Marks: 1) - Please choose one

If the income elasticity of demand is negative then, the good is:

- ▶ A luxury.
- ▶ A normal good (but not a luxury).
- ▶ **An inferior good.**
- ▶ A Giffen good.

Question No: 3 (Marks: 1) - Please choose one

Suppose the total costs of first four units of an output produced are 10, 20, 30, and 40 respectively. What is the marginal cost of the fourth unit of output?

- ▶ 10.
- ▶ 20.

- ▶ 30.
- ▶ 40.

Question No: 4 (Marks: 1) - Please choose one

Suppose the total utilities for the first four units of a good consumed are 13, 23, 33, and 43 respectively. What is the marginal utility of the third unit?

- ▶ 10.
- ▶ 13.
- ▶ 20.
- ▶ 33.

Question No: 5 (Marks: 1) - Please choose one

The demand curve for eggs is downward-sloping. Suddenly the price of eggs decreases from Rs.60/- per dozen to Rs.50/- per dozen. This will cause:

- ▶ The demand curve for eggs to shift leftward.
- ▶ Quantity demanded of eggs to decrease.
- ▶ **The demand curve for eggs to shift rightward.**
- ▶ Quantity demanded of eggs to increase.

Question# Marks 3:-

Strategy Maximin and Maximax?

Question# marks 5 :-

Ahmed consumes Potato and good 1. Draw indifference curve that show equilibrium level that Ahmed gets.

Question:- marks 5:-

Define profit maximization strategies with detail?

Answer:-

MC =MR

AC=AR

Economics 401 dated : 13.01.2015

18 MCS

2 Questions(3 marks each) 3 Question (5 Marks each)

1) define sunk cost with an example? 3 Mrks

2) explain the figure (given) ? it was the figure when the firm makes the super normal profit given in the slides of the lecture 18.. 3 Mrks

3) Define the variable cost and fixed with the help of examples? 5 Mrks

4) explain the limit pricing with the help of given figure (at book lecture 20) 05 Mrks

5) draw the vertical and horizontal curve? what are their elasties ? 5 Mrks

Best of Luck